Zillow let an algorithm buy houses. In one quarter it bought 9,680.

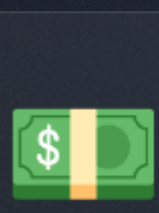
The plan: instant cash offers.



Offer



Fix up



Resell

> Buy homes fast, fix them up, resell. It launched in Phoenix and Las Vegas.

By 2021 it ran in 25 cities.

25

cities with Zillow Offers

Then the buying sped up.

Q2 2021

Bought 3,805 homes. Sold 2,086.

Q3 2021

Bought 9,680 homes. Sold 3,032.

> Source: Zillow Q3 2021 results, via CNN.

It was paying more than it could sell for.

$304M

Q3 2021 inventory write-down

Average gross profit per home sold:

−$80,771

per home

Nov 2, 2021: shut down. About 2,000 jobs cut.

> Roughly 25% of Zillow's staff.

"A market maker, not a market risk taker."

> Zillow's explanation for exiting home-buying.

If a model spends money for you:

1. Cap the size of the bet
2. Track the forecast error weekly
3. Keep a kill switch and use it

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